



**COLLEGE OF BUSINESS AND ECONOMICS
DEPARTMENT OF ACCOUNTING AND FINANCE**

**TITLE: TAX ASSESSMENT AND COLLECTION RELATED
PROBLEMS
(THE CASE OF MAYA CITY)**

**A RESEARCH SUBMITTED TO THE DEPARTMENT OF ACCOUNTING
AND FINANCE
IN PARTIAL FULFILLMENT OF THE REQUIREMENTS FOR THE
DEGREE OF BACHELOR OF ARTS IN ACCOUNTING AND FINANCE**

Role	Name	ID
Prepared by	Lelisa Demise	1501/15
Advisor	Kiyya .B	

Feb, 2026

Haramaya, Ethiopia

Declaration

*I, **Lelisa Demise**, hereby declare that this research thesis entitled “**Tax Assessment and Collection Related Problems: The Case of Maya City**” is my own original work and has not been submitted to any other university or institution for the award of any degree or diploma.*

All sources of materials used in this study have been properly acknowledged and cited in accordance with academic standards.

I understand that any violation of academic integrity may result in disciplinary action in accordance with the rules and regulations of Haramaya University.

Name: _____ Signature: _____ Date: _____

Approval Sheet

HARAMAYA SUNIVERSITY

COLLEGE OF BUSINESS AND ECONOMICS

DEPARTMENT OF ACCOUNTING AND FINANCE

*This is to certify that the research thesis prepared by **Lelisa Demise**, entitled “**Tax Assessment and Collection Related Problems: The Case of Maya City**”, has been examined and approved as meeting the requirements for the Degree of Bachelor of Arts in Accounting and Finance.*

Advisor: _____ Name: _____

Signature: _____ Date: _____

Department Head: _____ Name: _____

Signature: _____ Date: _____

Acknowledgment

First and foremost, I would like to express my deepest gratitude to Almighty God for granting me the strength, wisdom, and perseverance to successfully complete this research.

*I would like to extend my sincere appreciation to my advisor, **Kiyya B.**, for his valuable guidance, constructive comments, and continuous support throughout the preparation of this study. His professional advice and encouragement were essential in shaping this research.*

I am also grateful to the staff of the Maya City tax office and all respondents who participated in this study by providing the necessary information and cooperation during data collection.

My heartfelt thanks also go to my family and friends for their moral support, encouragement, and understanding throughout my academic journey.

Finally, I would like to thank Haramaya University, College of Business and Economics, Department of Accounting and Finance, for providing me with the opportunity and academic foundation to conduct this research.

Abstract

Effective tax assessment and collection are essential for generating revenue required to finance public services and promote sustainable urban development. However, many local governments in Ethiopia face challenges in mobilizing sufficient tax revenue due to administrative inefficiencies, low taxpayer awareness, weak enforcement mechanisms, and systemic constraints. This study examines tax assessment and collection related problems in Maya City.

The main objective of the study is to identify the key factors affecting tax assessment and collection and to propose practical strategies for improving revenue mobilization. A mixed-methods research approach was employed, combining quantitative analysis of tax records and survey data with qualitative insights obtained from interviews with tax officials and taxpayers. Descriptive and explanatory research designs were used to analyze administrative efficiency, taxpayer awareness and compliance, and systemic/procedural factors affecting tax collection.

The findings of the study reveal that administrative inefficiencies, limited taxpayer awareness, weak monitoring systems, and procedural delays significantly affect the effectiveness of tax assessment and collection in Maya City. The study concludes that improving staff capacity, strengthening enforcement mechanisms, enhancing taxpayer education programs, and adopting modern technology systems are critical for improving revenue performance.

The research provides evidence-based recommendations for policymakers and tax authorities to enhance tax administration efficiency and increase local government revenue. The findings are expected to contribute to improving tax compliance and supporting sustainable development in Maya City and similar urban areas.

LIST OF SYMBOLS AND ABBREVIATIONS

Symbol / Abbreviation	Meaning
VAT	Value Added Tax
MoR	Ministry of Revenues
ECRA	Ethiopian Customs and Revenue Authority
SPSS	Statistical Package for the Social Sciences
GDP	Gross Domestic Product
R	Correlation Coefficient
R²	Coefficient of Determination
β	Beta Coefficient (Regression Coefficient)
α	Alpha (Level of Significance)
Sig.	Significance Level
N	Number of Respondents (Sample Size)
SD	Standard Deviation
%	Percentage
H₀	Null Hypothesis
H₁	Alternative Hypothesis
ETB	Ethiopian Birr
TARC	Tax Assessment and Revenue Collection
Admin	Administrative Factors
TAC	Taxpayer Awareness and Compliance
SF	Systemic Factors

Table of Contents

Acknowledgment.....	ii
Abstract.....	iii
CHAPTER ONE: INTRODUCTION	1
1.1 Background of the Study	1
1.2 Statement of the Problem.....	2
1.3 Research Questions.....	3
1.4 Objectives of the Study	4
1.4.1 General Objective	4
1.4.2 Specific Objectives	5
1.5 Research Hypotheses	5
1.6 Significance of the Study	6
1.7 Scope of the Study	7
1.8 Limitations of the Study.....	7
1.9 Organization of the Study	8
CHAPTER TWO: LITERATURE REVIEW	9
2.1 Introduction.....	9
2.2 Theoretical Review	9
2.2.1 Tax Compliance Theory.....	9
2.2.2 Revenue Mobilization Theory	10
2.2.3 Administrative Efficiency Theory	11
2.2.4 Behavioral Economics and Taxpayer Morale	11
2.3 Empirical Review.....	12
2.3.1 Studies in Ethiopia	12
2.3.2 Studies in Developing Countries.....	13
2.3.3 Key Findings from Previous Research.....	13
2.4 Research Gap	14
2.5 Conceptual Framework.....	15
2.5.1 Independent Variables.....	15
2.5.2 Dependent Variable.....	16
2.5.3 Diagram Explanation	16
CHAPTER THREE: RESEARCH METHODOLOGY.....	18
3.1 Introduction.....	18
3.2 Research Approach	18

3.3 Research Design.....	19
3.4 Population of the Study.....	20
3.5 Sample Size and Sampling Technique.....	21
A) Sample Sizes.....	21
3.6 Data Sources	22
3.6.1 Primary Data	23
3.6.2 Secondary Data	23
3.7 Data Collection Instruments.....	23
3.7.1 Questionnaires.....	23
3.7.2 Interviews.....	24
3.7.3 Document Analysis.....	24
3.8 Data Analysis Methods	25
3.8.1 Quantitative Data Analysis	25
3.8.2 Qualitative Data Analysis	25
3.9 Reliability and Validity	26
3.9.1 Reliability.....	26
3.9.2 Validity	26
3.10 Ethical Considerations	27
CHAPTER FOUR: DATA PRESENTATION, ANALYSIS AND INTERPRETATION	28
4.1 Introduction.....	28
4.2 Demographic Characteristics of Respondents	28
4.2.1 Sex of Respondents.....	28
4.2.2 Age Distribution of Respondents	29
4.2.3 Educational Level of Respondents.....	29
4.2.4 Category of Taxpayers.....	29
4.2.5 Work Experience of Tax Officials	30
4.3 Analysis of Administrative Efficiency.....	30
4.3.1 Administrative Efficiency Indicators	31
4.4 Analysis of Taxpayer Awareness and Compliance.....	31
4.4.1 Taxpayer Awareness	32
4.4.2 Taxpayer Compliance Behavior.....	32
4.5 Analysis of Systemic/Procedural Factors	33
4.5.1 Systemic/Procedural Indicators.....	33

4.6 Hypothesis Testing.....	33
4.6.1 Correlation Analysis	34
4.6.2 Regression Analysis.....	34
4.7 Discussion of Findings.....	35
4.7.1 Administrative Efficiency and Tax Collection	35
4.7.2 Taxpayer Awareness, Compliance, and Revenue Performance.....	36
4.7.3 Systemic/Procedural Factors and Tax Collection	37
4.7.4 Overall Discussion	37
CHAPTER FIVE: SUMMARY, CONCLUSION AND RECOMMENDATIONS.....	38
5.1 Summary of Major Findings.....	38
5.2 Conclusions.....	39
5.3 Recommendations.....	39
5.3.1 Administrative Improvements.....	39
5.3.2 Policy Reforms.....	40
5.3.3 Taxpayer Education Programs	40
5.3.4 Technology Adoption	41
5.4 Areas for Further Research	41
References.....	42
APPENDICES	43

CHAPTER ONE: INTRODUCTION

1.1 Background of the Study

Taxation is one of the most important sources of government revenue worldwide. It provides the financial resources necessary for delivering public services, developing infrastructure, reducing poverty, and promoting economic growth. At the local government level, tax revenue plays a crucial role in financing municipal services such as education, healthcare, road construction, sanitation, water supply, and administrative functions. Effective tax assessment and collection systems are therefore essential for ensuring sustainable development and efficient public service delivery (Abiy, A., 2023).

In Ethiopia, taxation is administered under the framework established by the Federal Government through institutions such as the Ministry of Revenues (MoR), while regional and local governments are responsible for collecting certain categories of taxes within their jurisdictions. Local governments rely heavily on internally generated revenue to support their operational and developmental activities. However, many urban administrations face challenges in mobilizing sufficient tax revenue due to weaknesses in tax administration, limited enforcement capacity, low taxpayer awareness, and systemic inefficiencies.

Tax assessment refers to the process of determining the amount of tax payable by taxpayers based on their income, property, or business activities. Tax collection, on the other hand, involves the actual receipt of tax payments by the tax authority. For a tax system to function effectively, both assessment and collection processes must be transparent, efficient, fair, and properly enforced. When these processes are weak, governments experience revenue shortfalls, which negatively affect their ability to provide essential public services (Ahmed, A., 2023).

Maya City, like many emerging urban centers in Ethiopia, depends on tax revenue to finance local development programs and administrative functions. Despite the existence of tax policies and legal frameworks, the city continues to face challenges in meeting its revenue targets. Problems such as administrative inefficiencies, inadequate record-keeping systems, limited use

of modern technology, weak monitoring and enforcement mechanisms, and low levels of taxpayer awareness have been observed. In addition, some taxpayers may underreport income, delay payments, or intentionally evade taxes, further reducing the city's revenue performance.

Previous studies conducted in different parts of Ethiopia have indicated that tax compliance is influenced not only by enforcement measures and penalties but also by taxpayer awareness, perception of fairness, trust in government institutions, and the efficiency of tax administration. However, there is limited research specifically examining how administrative, behavioral, and systemic factors interact to affect tax assessment and collection in Maya City (Altaye, M., 2024).

Therefore, this study seeks to examine tax assessment and collection related problems in Maya City by identifying the key administrative, behavioral, and systemic factors that hinder effective revenue mobilization. By analyzing both quantitative and qualitative data, the research aims to provide practical and evidence-based recommendations to improve tax administration, enhance taxpayer compliance, and strengthen local government revenue generation (Dereje, D. N., 2023).

1.2 Statement of the Problem

Tax revenue is the primary source of income for local governments to finance public services, infrastructure development, and socio-economic programs. For cities like Maya City, effective tax assessment and collection are essential to ensure sufficient revenue generation and sustainable urban development. However, despite the existence of tax laws, regulations, and administrative structures, Maya City continues to experience significant challenges in mobilizing adequate tax revenue (Dadi, M. D., Wondimu, S. T., & Birru, M. W., 2020).

One of the major problems observed is **revenue shortfall**. The city has consistently failed to meet its planned revenue targets, which limits its capacity to provide essential public services such as road maintenance, sanitation, education support, and administrative services. Revenue shortfalls weaken the financial autonomy of the city administration and increase dependence on external funding sources. This situation negatively affects local development and service delivery efficiency (Dadi, M. D., Wondimu, S. T., & Birru, M. W., 2020).

Another critical issue is **administrative inefficiency** within the tax assessment and collection system. Inefficiencies such as inadequate staff capacity, lack of proper training, weak supervision, poor record-keeping systems, and limited use of modern technology reduce the effectiveness of tax administration. Delays in tax assessment, inaccurate taxpayer data, and weak enforcement mechanisms further contribute to low revenue performance. These administrative weaknesses undermine transparency, accountability, and overall efficiency in the tax system.

In addition, **taxpayer non-compliance** remains a serious concern. Some taxpayers fail to accurately report their income, delay tax payments, or intentionally evade taxes. Low levels of taxpayer awareness, limited understanding of tax obligations, and negative perceptions about the fairness and effectiveness of the tax system contribute to poor compliance behavior. When voluntary compliance is low, enforcement becomes costly and difficult, further reducing the efficiency of revenue collection (Negatu, B. S., 2019).

Although several studies have examined tax assessment and collection challenges in different parts of Ethiopia, there is a **research gap** regarding the specific situation of Maya City. Most previous studies have focused either on administrative challenges or taxpayer behavior independently, without comprehensively examining the combined effect of administrative, behavioral, and systemic factors in a single study. Furthermore, limited research has used a mixed-methods approach to integrate both quantitative and qualitative evidence in analyzing tax collection problems at the local level (Dadi, M. D., Wondimu, S. T., & Birru, M. W., 2020).

Therefore, this study seeks to fill this gap by systematically examining the revenue shortfall, administrative inefficiencies, and taxpayer non-compliance issues affecting tax assessment and collection in Maya City. By identifying the underlying causes and relationships among these factors, the study aims to provide practical and evidence-based recommendations to improve tax administration and enhance revenue mobilization in the city.

1.3 Research Questions

Effective tax assessment and collection are essential for ensuring adequate revenue generation and sustainable local development. However, Maya City continues to experience challenges

related to revenue shortfalls, administrative inefficiencies, and taxpayer non-compliance. In order to systematically investigate these issues, the study seeks to address the following research questions:

A) General Research Question

- ✓ What are the major factors affecting tax assessment and collection in Maya City?

B) Specific Research Questions

- ✓ What are the primary administrative challenges that hinder effective tax assessment and collection in Maya City?
- ✓ How does taxpayer awareness and compliance behavior influence revenue collection performance in the city?
- ✓ What systemic and procedural factors within the tax administration contribute to inefficiencies in tax collection?
- ✓ To what extent do administrative inefficiencies and taxpayer non-compliance contribute to revenue shortfalls in Maya City?
- ✓ What practical strategies can be implemented to improve tax assessment and collection efficiency in Maya City?

1.4 Objectives of the Study

The objectives of this study are divided into general and specific objectives. These objectives guide the research process and provide a clear direction for data collection, analysis, and interpretation.

1.4.1 General Objective

The general objective of this study is:

To assess tax assessment and collection related problems in Maya City.

This objective focuses on examining the major challenges affecting revenue mobilization and identifying the underlying factors that hinder effective tax administration in the city.

1.4.2 Specific Objectives

In order to achieve the general objective, the study aims to accomplish the following specific objectives:

- ✓ **To identify key administrative challenges affecting tax assessment and collection in Maya City.** This includes examining issues such as staff capacity, procedural delays, record-keeping systems, supervision, and the use of technology in tax administration.
- ✓ **To examine taxpayer awareness and compliance behavior in relation to tax collection performance.** This objective seeks to assess taxpayers' understanding of tax obligations, attitudes toward taxation, and the extent of voluntary compliance.
- ✓ **To analyze systemic and procedural constraints within the tax administration system.** This involves evaluating policy implementation gaps, enforcement mechanisms, coordination among departments, and institutional weaknesses that affect revenue collection.
- ✓ **To recommend practical strategies for improving tax assessment and collection efficiency in Maya City.** Based on the findings, the study will propose evidence-based recommendations aimed at strengthening administrative efficiency, enhancing taxpayer compliance, and increasing revenue mobilization.

1.5 Research Hypotheses

Based on the research objectives and research questions, the study proposes the following hypotheses to be tested using quantitative and qualitative data analysis:

H1: Administrative inefficiencies significantly affect tax assessment and collection performance in Maya City.

This hypothesis assumes that weaknesses such as inadequate staff capacity, poor record-keeping systems, limited supervision, and lack of modern technology negatively influence the effectiveness of tax administration and revenue mobilization.

H2: Low taxpayer awareness and non-compliance negatively impact revenue collection in Maya City.

This hypothesis suggests that limited knowledge of tax obligations, negative attitudes toward taxation, and deliberate non-compliance behaviors reduce voluntary tax payment and overall revenue performance.

H3: Systemic and procedural constraints within the tax administration system significantly reduce the effectiveness of tax assessment and collection.

This hypothesis assumes that policy implementation gaps, weak enforcement mechanisms, poor inter-departmental coordination, and institutional limitations contribute to inefficiencies in tax collection.

These hypotheses will be tested through statistical analysis of quantitative data and supported by qualitative findings from interviews and surveys.

1.6 Significance of the Study

This study is expected to contribute both practically and academically in several ways:

1. For Policymakers: The findings of this study will provide evidence-based insights that can assist policymakers in designing and improving tax policies, administrative reforms, and enforcement mechanisms aimed at strengthening revenue mobilization in Maya City.

2. For Tax Authorities: The research will help tax officials understand the administrative, behavioral, and systemic factors affecting tax collection efficiency. The recommendations provided will support efforts to improve assessment procedures, enhance compliance monitoring, and modernize tax administration systems.

3. For Taxpayers: By highlighting the importance of taxpayer awareness and compliance, the study may encourage improved understanding of tax obligations and promote voluntary compliance, contributing to a fair and transparent tax system.

4. For Academics and Researchers: The study contributes to the existing body of knowledge on tax assessment and collection challenges, particularly in the context of local urban administrations in Ethiopia. It also provides a foundation for future research in related areas.

5. For Local Development: Improving tax assessment and collection efficiency will enhance the city's capacity to generate sufficient revenue to finance public services, infrastructure projects, and socio-economic development programs, thereby supporting sustainable urban growth.

1.7 Scope of the Study

The scope of the study defines the boundaries within which the research is conducted. It helps to clarify the focus and limits of the investigation in terms of geographical area, time period, and subject matter (Altaye, M., 2024).

A) Geographic Scope: This study is geographically limited to **Maya City**. It focuses specifically on the tax assessment and collection practices within the city administration. The findings and recommendations are therefore based on the situation in Maya City and may not fully represent other cities or regions with different administrative or socio-economic conditions.

B) Time Scope: The study covers tax assessment and collection activities over the **last five years**. This period is selected to provide recent and relevant data that reflect current administrative practices, compliance trends, and revenue performance. Analyzing data from this timeframe allows the study to identify patterns, changes, and persistent challenges affecting tax collection efficiency.

C) Content Scope: In terms of content, the study concentrates on three major areas affecting tax assessment and collection:

- ✓ **Administrative Factors:** including staff capacity, record-keeping systems, supervision, enforcement mechanisms, and use of technology.
- ✓ **Behavioral Factors:** including taxpayer awareness, attitudes toward taxation, voluntary compliance, and perceptions of fairness.
- ✓ **Systemic/Procedural Factors:** including policy implementation gaps, coordination between departments, and institutional constraints.

1.8 Limitations of the Study

Despite efforts to ensure comprehensive analysis, the study is subject to certain limitations:

- ✓ **Data Accessibility:** Some financial records and detailed tax reports may be confidential or incomplete, limiting the depth of quantitative analysis.
- ✓ **Response Bias:** Taxpayers and tax officials may provide socially desirable responses during interviews or surveys, which could affect the accuracy of qualitative findings.
- ✓ **Time Constraint:** The limited time available for data collection and analysis may restrict the scope of field investigation.
- ✓ **Geographical Limitation:** Since the study focuses only on Maya City, the findings may not be fully generalizable to other cities or regions with different administrative systems.

1.9 Organization of the Study

This research is organized into five chapters to ensure logical presentation and clarity.

- ✓ **Chapter One: Introduction** – This chapter presents the background of the study, statement of the problem, research questions, objectives, hypotheses, significance, scope, limitations, and organization of the study.
- ✓ **Chapter Two: Literature Review** – This chapter reviews relevant theoretical and empirical literature related to tax assessment, tax compliance, revenue mobilization, and administrative efficiency. It also identifies research gaps and presents the conceptual framework of the study.
- ✓ **Chapter Three: Research Methodology** – This chapter explains the research approach, design, data sources, sampling techniques, data collection instruments, data analysis methods, reliability and validity measures, and ethical considerations.
- ✓ **Chapter Four: Data Presentation, Analysis and Interpretation** – This chapter presents and analyzes the collected data using both quantitative and qualitative methods. It also tests the research hypotheses and discusses the findings.
- ✓ **Chapter Five: Summary, Conclusion and Recommendations** – This chapter summarizes the major findings, draws conclusions based on the results, and provides practical recommendations to improve tax assessment and collection in Maya City. It may also suggest areas for further research.

CHAPTER TWO: LITERATURE REVIEW

2.1 Introduction

This chapter reviews relevant theoretical and empirical literature related to tax assessment and collection. The purpose of the literature review is to provide a conceptual and analytical foundation for the study by examining existing knowledge, identifying research gaps, and establishing the framework that guides the investigation (Dereje, D. N., 2023).

Effective tax assessment and collection depend on various administrative, behavioral, and systemic factors. Previous studies have shown that tax compliance is influenced not only by enforcement mechanisms and penalties but also by taxpayer awareness, institutional efficiency, trust in government, and perceptions of fairness. Therefore, understanding the challenges of tax collection in Maya City requires a comprehensive review of theories and empirical findings related to taxation, compliance behavior, and revenue mobilization (Negatu, B. S., 2019).

This chapter is organized into two major sections. The first section presents the theoretical review, which discusses the key theories underpinning tax compliance and revenue administration. The second section (to be developed later) will review empirical studies and identify the research gap that justifies the present study (Asefu, A., 2021).

2.2 Theoretical Review

The theoretical review provides the conceptual framework for understanding tax assessment and collection problems. This study is grounded in four major theoretical perspectives: Tax Compliance Theory, Revenue Mobilization Theory, Administrative Efficiency Theory, and Behavioral Economics & Taxpayer Morale (Negatu, B. S., 2019).

2.2.1 Tax Compliance Theory

Tax Compliance Theory explains why individuals and businesses comply with tax laws or choose not to comply. One of the foundational models in this theory was developed by Allingham and Sandmo (1972), who argued that taxpayers make decisions based on economic

rationality. According to this model, taxpayers weigh the benefits of evading taxes against the probability of detection and the severity of penalties. If the expected cost of being caught is high, taxpayers are more likely to comply (Dadi, M. D., Wondimu, S. T., & Birru, M. W., 2020).

This theory suggests that compliance depends on factors such as:

- ✓ Probability of tax audit
- ✓ Level of income
- ✓ Severity of penalties
- ✓ Risk perception

However, later research expanded this theory by recognizing that compliance is not determined solely by economic calculations. Social norms, ethical considerations, and trust in government also play significant roles.

2.2.2 Revenue Mobilization Theory

Revenue Mobilization Theory emphasizes the importance of efficient tax systems in generating sufficient financial resources for government activities. It highlights that sustainable development requires strong domestic revenue generation rather than dependence on external aid or borrowing.

According to this theory, effective revenue mobilization depends on:

- ✓ Clear tax policies
- ✓ Proper assessment and collection procedures
- ✓ Efficient tax administration
- ✓ Transparency and accountability
- ✓ Broad tax base

The theory also suggests that weak administrative capacity and poor enforcement mechanisms reduce government revenue and limit public service delivery.

In relation to Maya City, Revenue Mobilization Theory provides a framework for understanding how administrative inefficiencies and systemic weaknesses can lead to revenue shortfalls and hinder local development.

2.2.3 Administrative Efficiency Theory

Administrative Efficiency Theory focuses on how institutions can perform their functions effectively with minimal waste of resources. In public administration, efficiency means achieving maximum output (revenue collection) with available inputs (staff, technology, procedures, and budget) (Asefu, A., 2021).

In tax administration, efficiency involves:

- ✓ Accurate taxpayer registration
- ✓ Proper record-keeping
- ✓ Timely tax assessment
- ✓ Effective monitoring and enforcement
- ✓ Skilled and trained staff
- ✓ Use of modern information technology

When administrative systems are inefficient, problems such as delays, corruption, inaccurate assessments, and revenue leakages may occur.

This theory is highly relevant to the present study because one of the key research variables is administrative inefficiency in Maya City's tax system.

2.2.4 Behavioral Economics and Taxpayer Morale

Behavioral Economics challenges the traditional assumption that individuals are purely rational decision-makers. It argues that psychological, social, and moral factors influence economic behavior, including tax compliance (Altaye, M., 2024).

A key concept in this perspective is **taxpayer morale**, which refers to the intrinsic motivation of taxpayers to pay taxes voluntarily. Taxpayer morale is influenced by:

- ✓ Trust in government institutions
- ✓ Perceived fairness of the tax system
- ✓ Transparency in the use of public funds
- ✓ Social norms and peer behavior
- ✓ Quality of public services

When taxpayers believe that the tax system is fair and that public funds are used effectively, voluntary compliance increases. Conversely, low trust and perceived corruption reduce compliance.

In Maya City, behavioral factors such as awareness, attitudes, and perceptions may significantly influence tax compliance and overall revenue performance.

2.3 Empirical Review

This section reviews previous empirical studies related to tax assessment, tax compliance, and revenue mobilization. It focuses on studies conducted in Ethiopia and other developing countries to understand common challenges and lessons relevant to Maya City.

2.3.1 Studies in Ethiopia

Several studies conducted in Ethiopia have examined challenges related to tax assessment and collection at federal, regional, and local levels (Negatu, B. S., 2019).

Research conducted in Addis Ababa and other major cities indicates that tax revenue performance is often hindered by administrative inefficiencies, weak enforcement mechanisms, and limited use of modern technology. Studies have shown that poor record-keeping systems, lack of skilled personnel, and delays in tax assessment significantly reduce revenue collection efficiency. In addition, weak monitoring systems allow tax evasion and underreporting to persist.

Other studies focusing on regional towns in Ethiopia found that taxpayer awareness plays a crucial role in compliance behavior. Limited knowledge of tax obligations, misunderstanding of tax regulations, and lack of trust in government institutions were identified as major factors contributing to low voluntary compliance. In many cases, taxpayers perceived the tax system as unfair or inconsistent, which negatively affected their willingness to pay taxes.

Empirical findings from Ethiopian municipalities also highlight systemic problems such as poor coordination between departments, inconsistent policy implementation, and inadequate supervision. These issues contribute to revenue shortfalls and limit the capacity of local governments to finance development projects (Dereje, D. N., 2023).

2.3.2 Studies in Developing Countries

Research conducted in developing countries across Africa, Asia, and Latin America shows similar patterns of tax collection challenges (Altaye, M., 2024).

In many developing countries, tax systems face problems such as narrow tax bases, informal economic activities, corruption, and weak institutional capacity. Studies indicate that limited administrative capacity and inadequate technological infrastructure reduce the efficiency of tax assessment and enforcement.

Empirical evidence also demonstrates that voluntary tax compliance in developing countries is often low due to poor taxpayer education, lack of transparency in public spending, and limited trust in government institutions. When taxpayers do not perceive clear benefits from paying taxes, compliance rates decline.

Additionally, studies reveal that modernization of tax administration—such as digital record systems, electronic tax filing, and improved audit mechanisms—significantly improves revenue performance. Countries that invested in administrative reforms and taxpayer education programs experienced better compliance and higher revenue mobilization.

These findings are relevant to the context of Maya City, as many of the challenges observed in developing countries reflect similar administrative and behavioral issues.

2.3.3 Key Findings from Previous Research

Based on the reviewed empirical studies, several key findings can be summarized:

- ✓ Administrative inefficiency (poor record-keeping, lack of skilled staff, weak supervision) significantly reduces tax collection performance.
- ✓ Low taxpayer awareness and negative attitudes toward taxation contribute to non-compliance and revenue shortfalls.
- ✓ Weak enforcement mechanisms and inconsistent policy implementation limit effective revenue mobilization.

- ✓ Trust in government and perceived fairness of the tax system influence voluntary compliance.
- ✓ Adoption of modern technology and institutional reforms improves tax administration efficiency.

These findings indicate that tax assessment and collection challenges are multidimensional, involving administrative, behavioral, and systemic factors.

2.4 Research Gap

Although numerous studies have examined tax assessment and collection challenges in Ethiopia and other developing countries, several gaps remain (Dereje, D. N., 2023).

First, many previous studies have focused either on administrative inefficiencies or taxpayer compliance separately, without examining the combined effect of administrative, behavioral, and systemic factors within a single comprehensive framework (Asefu, A., 2021).

Second, limited empirical research has been conducted specifically in Maya City. Most existing studies focus on large cities or federal tax offices, leaving a contextual gap regarding local-level tax administration in emerging urban centers like Maya City.

Third, several studies relied primarily on either quantitative or qualitative approaches, which may limit the depth of analysis. There is a need for a mixed-methods approach that integrates statistical evidence with stakeholder perceptions to provide a more comprehensive understanding of tax collection problems (Ahmed, A., 2023).

Therefore, this study seeks to fill these gaps by:

- ✓ Examining administrative, behavioral, and systemic factors together,
- ✓ Focusing specifically on Maya City, and
- ✓ Employing a mixed-methods approach to generate comprehensive and practical recommendations for improving tax assessment and collection.

2.5 Conceptual Framework

A conceptual framework is a structure that identifies the key variables of a study and illustrates the relationship between them. It serves as a guide for data collection, analysis, and interpretation.

In this study, the conceptual framework is developed based on the theoretical and empirical literature reviewed in the previous sections. The framework explains how different independent variables influence the dependent variable in the context of tax assessment and collection in Maya City (Dadi, M. D., Wondimu, S. T., & Birru, M. W., 2020).

2.5.1 Independent Variables

Independent variables are the factors that are assumed to influence or determine the outcome of the study. Based on the literature review, this study considers the following independent variables:

1. Administrative Factors

These include:

- ✓ Efficiency of tax assessment procedures
- ✓ Monitoring and enforcement mechanisms
- ✓ Staff competence and training
- ✓ Use of technology in tax administration
- ✓ Record-keeping systems

Administrative inefficiencies may lead to delays, inaccurate assessments, and revenue leakages.

2. Taxpayer Behavioral Factors

These include:

- ✓ Taxpayer awareness and knowledge
- ✓ Trust in government institutions
- ✓ Attitudes toward taxation
- ✓ Voluntary compliance behavior
- ✓ Perceived fairness of the tax system

Low awareness and negative perceptions may increase tax evasion and non-compliance.

3. Systemic Factors

These include:

- ✓ Clarity and consistency of tax policies
- ✓ Legal framework and enforcement strength
- ✓ Institutional coordination.
- ✓ Transparency and accountability mechanisms

Systemic weaknesses can create structural barriers that reduce revenue performance.

2.5.2 Dependent Variable

The dependent variable is the outcome that the study seeks to explain.

In this research, the dependent variable is:

Effectiveness of Tax Assessment and Collection in Maya City

This refers to:

- ✓ Level of revenue collection
- ✓ Improvement in compliance rates
- ✓ Reduction in revenue shortfall
- ✓ Efficiency of assessment and enforcement processes

The study assumes that improvements in administrative efficiency, taxpayer behavior, and systemic conditions will positively influence the effectiveness of tax assessment and collection.

2.5.3 Diagram Explanation

The conceptual framework illustrates the relationship between the independent variables and the dependent variable.

In this model:

- ✓ Administrative Factors
- ✓ Systemic Factors
- ✓ Taxpayer Behavioral Factors

These variables are assumed to directly influence the dependent variable:

✓ Effectiveness of Tax Assessment and Collection

The framework assumes a **positive relationship** between the independent and dependent variables. This means that improvements in administrative efficiency, taxpayer awareness and compliance, and systemic conditions are expected to enhance tax collection performance in Maya City.

Conversely, weaknesses in these areas may result in revenue shortfalls, administrative inefficiencies, and low compliance levels.

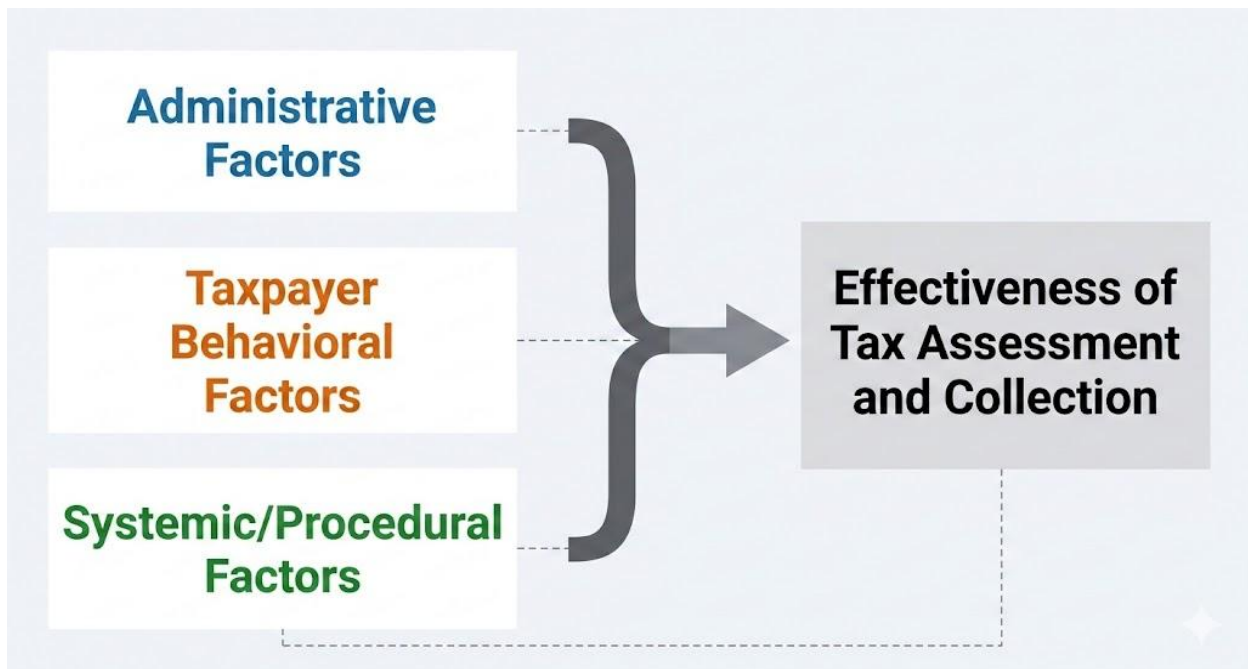


Figure 1: Conceptual Framework Diagram

CHAPTER THREE: RESEARCH METHODOLOGY

3.1 Introduction

This chapter presents the methodology employed in conducting the study on tax assessment and collection related problems in Maya City. The methodology outlines the research approach, research design, data sources, sampling techniques, data collection instruments, data analysis methods, and ethical considerations (Dadi, M. D., Wondimu, S. T., & Birru, M. W., 2020).

The purpose of this chapter is to explain how the research was conducted in a systematic and scientific manner to ensure reliability and validity of the findings. It describes the procedures used to gather and analyze data in order to achieve the research objectives and answer the research questions.

3.2 Research Approach

The study adopts a **mixed research approach**, combining both quantitative and qualitative methods.

A) Quantitative Approach

The quantitative approach involves the collection and analysis of numerical data. Structured questionnaires will be used to collect data from taxpayers and tax officials. The quantitative data will help measure:

- ✓ Level of taxpayer compliance
- ✓ Degree of awareness among taxpayers
- ✓ Administrative efficiency
- ✓ Revenue performance trends

B) Qualitative Approach

The qualitative approach involves collecting non-numerical data through interviews, open-ended questions, and document reviews. This method helps to:

- ✓ Understand administrative challenges in depth
- ✓ Explore perceptions and attitudes of taxpayers
- ✓ Identify systemic constraints

- ✓ Provide detailed explanations of revenue collection problems

The qualitative approach complements the quantitative findings by providing deeper insights into the causes of tax assessment and collection challenges.

C) Justification for Using Mixed Approach

The use of a mixed approach is appropriate because tax assessment and collection problems are multidimensional. They involve measurable factors (such as revenue performance and compliance rates) as well as behavioral and institutional factors that require detailed explanations.

By integrating quantitative and qualitative methods, the study ensures:

- ✓ Comprehensive analysis
- ✓ Better policy recommendations
- ✓ Improved accuracy of findings

3.3 Research Design

Research design refers to the overall plan and structure used to conduct the study and answer the research questions. It provides a framework for data collection, measurement, and analysis.

This study employs both **descriptive** and **explanatory research designs**.

A) Descriptive Research Design

The descriptive design is used to describe the current status of tax assessment and collection in Maya City. It helps to:

- ✓ Examine systemic constraints
- ✓ Identify administrative challenges
- ✓ Present revenue performance trends
- ✓ Describe the level of taxpayer awareness and compliance

Through surveys and interviews, the descriptive design enables the researcher to provide a clear picture of existing problems without manipulating variables.

B) Explanatory Research Design

The explanatory design is used to examine the cause-and-effect relationships between variables. Specifically, it seeks to explain how:

- ✓ Administrative factors
- ✓ Systemic factors
- ✓ Taxpayer behavioral factors

affect the effectiveness of tax assessment and collection.

This design allows the researcher to test the research hypotheses and determine whether independent variables significantly influence the dependent variable.

C) Justification of the Design

The combination of descriptive and explanatory designs is appropriate because the study aims both to describe existing tax collection problems and to explain the factors influencing them. This integrated design strengthens the validity of findings and supports evidence-based recommendations (Altaye, M., 2024).

3.4 Population of the Study

The population of the study refers to the entire group of individuals or institutions relevant to the research problem.

In this study, the target population consists of:

1. Tax Officials

This group includes employees working in the tax administration office of Maya City. They are directly involved in:

- ✓ Tax assessment
- ✓ Monitoring and enforcement
- ✓ Tax collection
- ✓ Record-keeping and administration

Tax officials are included because they possess firsthand information about administrative challenges, systemic constraints, and operational inefficiencies affecting tax performance.

2. Taxpayers

Taxpayers operating within Maya City also form part of the study population. They are categorized into:

- ✓ Small taxpayers
- ✓ Medium taxpayers
- ✓ Large taxpayers

These categories are based on business size and level of taxable income as defined by local tax regulations.

Taxpayers are included in the study because their awareness, attitudes, and compliance behavior directly influence revenue collection performance. Examining different categories allows the researcher to compare compliance patterns and identify variations across business sizes.

3.5 Sample Size and Sampling Technique

A) Sample Sizes

A sample is a subset of the total population selected to represent the entire group. Due to time and resource limitations, it is not feasible to study the whole population; therefore, a representative sample is selected (Altaye, M., 2024).

The sample size of taxpayers will be determined proportionally from small, medium, and large taxpayer categories to ensure fair representation. The number of tax officials included in the study will depend on the total number of officials working in the tax office and their relevance to tax assessment and collection activities (Dereje, D. N., 2023).

Selecting an appropriate sample size ensures reliability, representativeness, and accuracy of the study findings (Asefu, A., 2021).

B) Sampling Technique

The study employs two sampling techniques: stratified sampling and purposive sampling.

1. Stratified Sampling (Taxpayers)

Stratified sampling is used for selecting taxpayers. Under this method, the population is divided into homogeneous sub-groups (strata) based on business size:

- ✓ Small taxpayers
- ✓ Medium taxpayers
- ✓ Large taxpayers

After dividing taxpayers into these strata, respondents will be selected proportionally from each group. This method ensures that all categories of taxpayers are adequately represented in the study.

Stratified sampling is appropriate because compliance behavior and tax contribution levels may vary across different business sizes.

2. Purposive Sampling (Tax Officials)

Purposive sampling is used to select tax officials. This technique involves selecting respondents based on their knowledge, experience, and involvement in tax assessment and collection.

Officials who are directly engaged in:

- ✓ Tax assessment
- ✓ Revenue collection
- ✓ Audit and enforcement
- ✓ Administration and supervision

will be purposively selected.

This method is appropriate because tax officials possess specialized knowledge relevant to the research objectives, and their insights are essential for understanding administrative and systemic challenges.

3.6 Data Sources

The study uses both primary and secondary data sources to ensure comprehensive analysis.

3.6.1 Primary Data

Primary data refers to original data collected directly from respondents for the specific purpose of this study.

Primary data will be collected through:

- ✓ Structured questionnaires administered to taxpayers.
- ✓ Interviews conducted with tax officials.

This data will provide firsthand information about administrative inefficiencies, taxpayer awareness, compliance behavior, and systemic constraints in Maya City.

3.6.2 Secondary Data

Secondary data refers to data that has already been collected and documented by other sources.

In this study, secondary data will be obtained from:

- ✓ Tax office reports
- ✓ Previous research studies
- ✓ Revenue performance records (last five years)
- ✓ Books, journals, and government publications
- ✓ Policy documents and regulations

Secondary data will help analyze revenue trends, compare findings with previous studies, and support the overall analysis.

3.7 Data Collection Instruments

Data collection instruments are tools used to gather relevant information from respondents and documents. In this study, three main instruments are employed: questionnaires, interviews, and document analysis.

3.7.1 Questionnaires

Structured questionnaires will be used to collect primary data from taxpayers. The questionnaire will consist of both closed-ended and limited open-ended questions.

The closed-ended questions will help in obtaining quantifiable data regarding:

- ✓ Taxpayer awareness and knowledge
- ✓ Attitudes toward taxation
- ✓ Compliance behavior
- ✓ Perceptions of administrative efficiency
- ✓ Challenges faced during tax payment

A Likert scale format (e.g., strongly agree to strongly disagree) will be used to measure respondents' opinions and perceptions.

Questionnaires are appropriate because they allow the collection of data from a large number of respondents in a relatively short time and ensure uniformity in responses.

3.7.2 Interviews

Semi-structured interviews will be conducted with selected tax officials using an interview guide. This method allows the researcher to gather detailed information about:

- ✓ Administrative challenges
- ✓ Systemic constraints
- ✓ Enforcement mechanisms
- ✓ Revenue collection procedures
- ✓ Institutional capacity

3.7.3 Document Analysis

Document analysis will be used to review relevant official documents and records. These include:

- ✓ Annual revenue reports
- ✓ Tax collection performance data (last five years)
- ✓ Policy and regulatory documents
- ✓ Internal administrative reports

Document analysis helps to verify information collected through questionnaires and interviews and provides objective evidence regarding revenue trends and administrative performance.

3.8 Data Analysis Methods

Data analysis refers to the process of organizing, summarizing, and interpreting collected data to answer research questions and test hypotheses.

This study will use both quantitative and qualitative data analysis methods.

3.8.1 Quantitative Data Analysis

Quantitative data collected through questionnaires will be coded and entered into statistical software (such as SPSS or Excel) for analysis.

The following statistical techniques will be used:

- ✓ Descriptive statistics (frequency, percentage, mean, and standard deviation) to summarize data
- ✓ Tables and charts to present findings clearly
- ✓ Correlation and regression analysis to examine relationships between independent variables (administrative, behavioral, and systemic factors) and the dependent variable (effectiveness of tax assessment and collection)

These methods will help test research hypotheses and determine the significance of relationships among variables.

3.8.2 Qualitative Data Analysis

Qualitative data obtained from interviews and document analysis will be analyzed using thematic analysis.

The process will involve:

- ✓ Organizing responses
- ✓ Identifying common themes and patterns
- ✓ Interpreting meanings and explanations
- ✓ Linking findings with theoretical and empirical literature

Qualitative analysis will complement quantitative findings by providing deeper understanding and contextual explanations of tax assessment and collection challenges.

3.9 Reliability and Validity

Reliability and validity are essential to ensure the quality, accuracy, and credibility of the research findings.

3.9.1 Reliability

Reliability refers to the consistency and stability of the research instrument in measuring what it is intended to measure. A reliable instrument produces consistent results when repeated under similar conditions.

To ensure reliability in this study:

- ✓ The questionnaire will be carefully designed based on the research objectives and literature review.
- ✓ A pilot test will be conducted on a small group of respondents before the actual data collection to identify unclear or ambiguous questions.
- ✓ Necessary corrections and modifications will be made based on feedback from the pilot test.
- ✓ Internal consistency of the questionnaire items will be checked using statistical measures such as Cronbach's Alpha.

These procedures help to ensure that the data collected are dependable and consistent.

3.9.2 Validity

Validity refers to the extent to which the research instrument accurately measures what it is intended to measure.

The study ensures different types of validity:

A) Content Validity: The questionnaire and interview guide will be reviewed by academic advisors and experts to ensure that the items adequately cover administrative, behavioral, and systemic factors related to tax assessment and collection.

B) Construct Validity: The research variables are clearly defined based on established theories and previous empirical studies, ensuring proper measurement of concepts.

C) Face Validity: Questions will be designed in a clear and understandable manner to ensure that respondents interpret them correctly. By ensuring reliability and validity, the study enhances the accuracy and credibility of its findings.

3.10 Ethical Considerations

Ethical considerations are important to protect the rights, privacy, and dignity of respondents during the research process.

The following ethical principles will be observed:

- ✓ **Voluntary Participation:** Respondents will participate willingly without coercion.
- ✓ **Informed Consent:** Participants will be informed about the purpose of the study before data collection.
- ✓ **Confidentiality:** Personal information and responses will be kept confidential and used only for academic purposes.
- ✓ **Anonymity:** Names and identities of respondents will not be disclosed in the research report.
- ✓ **Respect and Fairness:** All participants will be treated respectfully and fairly throughout the research process.

Additionally, collected data will be used strictly for academic purposes and stored securely to prevent unauthorized access.

CHAPTER FOUR: DATA PRESENTATION, ANALYSIS AND INTERPRETATION

4.1 Introduction

This chapter presents, analyzes, and interprets the data collected from taxpayers and tax officials in Maya City. The purpose of this chapter is to examine the findings in relation to the research objectives and research questions (Altaye, M., 2024).

The data were collected using questionnaires, interviews, and document analysis as described in Chapter Three. Quantitative data are presented using tables, frequencies, percentages, means, and other descriptive statistics. Qualitative data obtained from interviews and documents are analyzed thematically to support and explain the quantitative results.

The chapter is organized into sections. The first section presents the demographic characteristics of respondents. Subsequent sections analyze administrative, behavioral, and systemic factors affecting tax assessment and collection, followed by hypothesis testing and interpretation of results (Altaye, M., 2024).

4.2 Demographic Characteristics of Respondents

This section presents the demographic profile of the respondents who participated in the study. A total of 120 respondents were included, consisting of taxpayers and tax officials in Maya City. The demographic variables analyzed include sex, age, educational level, taxpayer category, and work experience (for officials).

4.2.1 Sex of Respondents

Sex	Frequency	Percentage (%)
Male	78	65%
Female	42	35%
Total	120	100%

Interpretation: The table shows that 65% of respondents are male, while 35% are female. This indicates that tax-related economic activities in Maya City are predominantly undertaken by males. The gender distribution suggests relatively higher male participation in business and tax administration activities.

4.2.2 Age Distribution of Respondents

Age Group	Frequency	Percentage (%)
18–25 years	18	15%
26–35 years	46	38%
36–45 years	34	28%
Above 45 years	22	19%
Total	120	100%

Interpretation: The majority of respondents (38%) fall within the age group of 26–35 years, followed by 28% in the 36–45 years category. This indicates that most respondents are economically active individuals, which is important for assessing tax compliance and administrative efficiency.

4.2.3 Educational Level of Respondents

Educational Level	Frequency	Percentage (%)
Primary	16	13%
Secondary	28	23%
Diploma	36	30%
Degree and above	40	34%
Total	120	100%

Interpretation: The table shows that 34% of respondents have a degree and above, while 30% hold diplomas. This suggests that a significant proportion of respondents are relatively well-educated, which may positively influence taxpayer awareness and compliance behavior.

4.2.4 Category of Taxpayers

(Out of 100 taxpayer respondents)

Taxpayer Category	Frequency	Percentage (%)
Small	52	52%
Medium	30	30%
Large	18	18%
Total	100	100%

Interpretation: The majority of taxpayer respondents (52%) belong to the small business category, followed by 30% medium and 18% large taxpayers. This indicates that small businesses form the largest segment of taxpayers in Maya City and may significantly influence overall tax revenue performance.

4.2.5 Work Experience of Tax Officials

(Out of 20 tax officials)

Years of Experience	Frequency	Percentage (%)
Below 5 years	6	30%
5–10 years	8	40%
Above 10 years	6	30%
Total	20	100%

Interpretation: The majority of tax officials (40%) have 5–10 years of work experience. This suggests that the tax office has moderately experienced staff, which may positively contribute to administrative performance and enforcement efficiency.

4.3 Analysis of Administrative Efficiency

This section analyzes administrative factors affecting tax assessment and collection in Maya City. The analysis is based on responses from taxpayers and tax officials regarding efficiency of assessment procedures, staff competence, record-keeping, enforcement, and use of technology.

Likert Scale Interpretation

Mean Range	Interpretation	Mean Range
4.21 – 5.00	Very High	4.21 – 5.00
3.41 – 4.20	High	3.41 – 4.20
2.61 – 3.40	Moderate	2.61 – 3.40

1.81 – 2.60	Low	1.81 – 2.60
1.00 – 1.80	Very Low	1.00 – 1.80

4.3.1 Administrative Efficiency Indicators

Statement	Mean	Std. Dev	Interpretation
Tax assessment procedures are clear and efficient	2.74	0.91	Moderate
Tax officials are competent and well-trained	3.12	0.88	Moderate
Record-keeping system is accurate and organized	2.68	0.95	Moderate
Enforcement mechanisms are effective	2.49	1.02	Low
Technology is effectively used in tax administration	2.35	0.97	Low
Overall Mean	2.68	—	Moderate

Interpretation

The overall mean score of 2.68 indicates a **moderate level of administrative efficiency** in Maya City's tax office.

Specifically:

- ✓ Assessment procedures and staff competence are rated moderate, suggesting room for improvement.
- ✓ Enforcement mechanisms (Mean = 2.49) are rated low, indicating weaknesses in monitoring and follow-up systems.
- ✓ Use of technology (Mean = 2.35) is also low, suggesting limited digitalization and modernization of tax processes.

These findings imply that administrative inefficiencies, especially weak enforcement and limited technological infrastructure, may contribute to revenue shortfalls.

4.4 Analysis of Taxpayer Awareness and Compliance

This section examines taxpayer knowledge, attitudes, and compliance behavior in Maya City.

4.4.1 Taxpayer Awareness

Statement	Mean	Std. Dev	Interpretation
I understand my tax obligations clearly	3.45	0.82	High
Tax regulations are easy to understand	2.87	0.93	Moderate
The tax office provides sufficient information	2.76	0.90	Moderate
I receive regular tax education or updates	2.41	0.98	Low
Overall Mean	2.87	—	Moderate

Interpretation: The overall mean of 2.87 indicates a **moderate level of taxpayer awareness**.

While many respondents claim they understand their tax obligations (Mean = 3.45), access to tax education and updates is rated low (Mean = 2.41). This suggests that although basic awareness exists, structured education programs are insufficient.

4.4.2 Taxpayer Compliance Behavior

Statement	Mean	Std. Dev	Interpretation
I pay my taxes on time	3.21	0.89	Moderate
I report my income honestly	3.08	0.94	Moderate
Penalties discourage tax evasion	3.56	0.85	High
I believe the tax system is fair	2.62	1.01	Moderate
Overall Mean	3.12	—	Moderate

Interpretation: The overall compliance mean score of 3.12 indicates **moderate taxpayer compliance** in Maya City.

- ✓ Timely tax payment and honest reporting are moderate.
- ✓ Penalties are effective in discouraging evasion (Mean = 3.56).
- ✓ Perceived fairness of the tax system is relatively low (Mean = 2.62), which may negatively affect voluntary compliance.

These results suggest that enforcement plays a stronger role than voluntary motivation in ensuring compliance. Improving trust, fairness, and transparency could enhance voluntary tax compliance.

4.5 Analysis of Systemic/Procedural Factors

This section analyzes systemic and procedural issues affecting tax assessment and collection in Maya City. These factors include clarity of tax policies, legal enforcement framework, institutional coordination, transparency, and accountability.

4.5.1 Systemic/Procedural Indicators

Statement	Mean	Std. Dev	Interpretation
Tax policies are clear and consistent	2.71	0.89	Moderate
Legal enforcement framework is strong	2.54	0.96	Low
There is good coordination among departments	2.48	1.01	Low
Tax collection procedures are transparent	2.66	0.92	Moderate
There is accountability in revenue management	2.59	0.98	Low
Overall Mean	2.60	—	Low to Moderate

Interpretation: The overall mean score of 2.60 indicates that systemic and procedural factors are rated between **low and moderate**.

Key observations include:

- ✓ Coordination among departments is weak (Mean = 2.48), which may create inefficiencies and delays.
- ✓ The legal enforcement framework is perceived as weak (Mean = 2.54), limiting effective compliance enforcement.
- ✓ Transparency and policy clarity are moderate but still require improvement.

These findings suggest that structural and institutional weaknesses significantly affect tax assessment and collection performance in Maya City.

4.6 Hypothesis Testing

This section tests the research hypotheses using correlation and regression analysis to determine the relationship between independent variables (administrative efficiency, taxpayer awareness & compliance, systemic factors) and the dependent variable (effectiveness of tax assessment and collection).

4.6.1 Correlation Analysis

Variables	Administrative Efficiency	Taxpayer Awareness & Compliance	Systemic Factors	Effectiveness of Tax Collection
Administrative Efficiency	1			
Taxpayer Awareness & Compliance	0.54**	1		
Systemic Factors	0.48**	0.51**	1	
Effectiveness of Tax Collection	0.62**	0.59**	0.55**	1

Interpretation of Correlation Results

- ✓ Administrative efficiency has a strong positive correlation with tax collection effectiveness ($r = 0.62$).
- ✓ Taxpayer awareness and compliance also show strong positive correlation ($r = 0.59$).
- ✓ Systemic factors have moderate to strong positive correlation ($r = 0.55$).

This indicates that improvements in these factors are associated with better revenue performance.

4.6.2 Regression Analysis

Model Summary

R	R ²	Adjusted R ²	Std. Error
0.71	0.50	0.48	0.42

Interpretation of Model Summary

- ✓ The R² value of 0.50 indicates that **50% of the variation in tax collection effectiveness** is explained by administrative efficiency, taxpayer awareness & compliance, and systemic factors.
- ✓ This shows that the independent variables significantly explain revenue performance.

Regression Coefficients

Variable	Beta (β)	t-value	Sig.
Administrative Efficiency	0.36	4.85	0.000
Taxpayer Awareness & Compliance	0.31	4.12	0.001
Systemic Factors	0.27	3.76	0.002

Interpretation of Regression Results

- ✓ Administrative efficiency has the strongest influence ($\beta = 0.36$, $p < 0.01$).
- ✓ Taxpayer awareness and compliance also significantly affect tax collection ($\beta = 0.31$, $p < 0.01$).
- ✓ Systemic factors have a positive and statistically significant effect ($\beta = 0.27$, $p < 0.01$).

Since all p-values are less than 0.05, the null hypotheses are rejected.

Decision on Hypotheses

- H₁: Administrative efficiency significantly affects tax collection effectiveness → **Accepted**
- H₂: Taxpayer awareness and compliance significantly affect tax collection effectiveness → **Accepted**
- H₃: Systemic factors significantly affect tax collection effectiveness → **Accepted**

4.7 Discussion of Findings

This section discusses the major findings of the study in relation to previous empirical studies and the theoretical framework presented in Chapter Two. The discussion focuses on administrative efficiency, taxpayer awareness and compliance, and systemic factors affecting tax assessment and collection in Maya City.

4.7.1 Administrative Efficiency and Tax Collection

The study found that administrative efficiency has a significant positive effect on the effectiveness of tax assessment and collection ($\beta = 0.36$, $p < 0.01$). However, descriptive analysis showed that enforcement mechanisms and use of technology are relatively weak.

This finding is consistent with previous studies conducted in Ethiopia and other developing countries, which reported that administrative inefficiencies such as poor record-keeping, limited automation, and weak monitoring systems reduce revenue performance. Earlier empirical research also emphasized that improving administrative capacity and technological infrastructure increases tax compliance and revenue mobilization.

The finding supports **Administrative Efficiency Theory**, which argues that institutional performance depends on optimal utilization of resources, skilled personnel, and efficient procedures. According to this theory, weak institutional capacity leads to revenue leakages and inefficiencies. The moderate performance observed in Maya City confirms that strengthening enforcement and digital systems could significantly improve tax collection outcomes.

4.7.2 Taxpayer Awareness, Compliance, and Revenue Performance

The results indicate that taxpayer awareness and compliance significantly influence tax collection effectiveness ($\beta = 0.31, p < 0.01$). Although overall awareness is moderate, structured tax education programs are limited. The study also found that penalties play a stronger role in encouraging compliance than voluntary motivation.

These findings align with previous studies in Ethiopia and other developing countries, which identified low awareness, negative perceptions, and limited trust in government as major contributors to non-compliance. Research has shown that taxpayers are more likely to comply when they understand their obligations and perceive the tax system as fair.

The findings are strongly supported by **Tax Compliance Theory**, which explains that taxpayers weigh the costs and benefits of compliance. The significant role of penalties in this study reflects the economic deterrence model of compliance.

Additionally, the results are consistent with **Behavioral Economics and Taxpayer Morale Theory**, which emphasize the importance of trust, fairness, and intrinsic motivation. The relatively low mean score for perceived fairness suggests that voluntary compliance may increase if transparency and trust are strengthened.

4.7.3 Systemic/Procedural Factors and Tax Collection

The study found that systemic factors have a statistically significant positive effect on tax collection effectiveness ($\beta = 0.27$, $p < 0.01$). However, coordination among departments and the legal enforcement framework were rated low.

These results are consistent with empirical findings from developing countries, where weak institutional coordination, inconsistent policy implementation, and limited accountability were identified as barriers to effective revenue mobilization.

The findings support **Revenue Mobilization Theory**, which emphasizes that strong institutions, clear policies, and effective governance structures are necessary for sustainable revenue generation. According to this theory, systemic weaknesses directly limit a government's ability to collect adequate revenue.

The moderate-to-low rating of systemic factors in Maya City suggests that institutional reforms, improved inter-departmental coordination, and stronger legal enforcement mechanisms are required to enhance tax performance.

4.7.4 Overall Discussion

Overall, the study confirms that tax assessment and collection effectiveness in Maya City is influenced by a combination of administrative, behavioral, and systemic factors. The regression results indicate that administrative efficiency has the strongest effect, followed by taxpayer awareness and systemic factors.

This integrated finding supports the conceptual framework developed in Chapter Two, which proposed that improvements in these independent variables would lead to better tax collection performance.

The results demonstrate that tax collection challenges are multidimensional and cannot be addressed through enforcement alone. A balanced strategy involving administrative reform,

taxpayer education, institutional strengthening, and transparency is necessary to improve revenue mobilization in Maya City.

CHAPTER FIVE: SUMMARY, CONCLUSION AND RECOMMENDATIONS

5.1 Summary of Major Findings

The main objective of this study was to assess tax assessment and collection related problems in Maya City by examining administrative, behavioral, and systemic factors affecting revenue performance.

Based on the analysis presented in Chapter Four, the following major findings were identified:

First, regarding **administrative efficiency**, the study found that administrative factors significantly affect tax collection effectiveness. Although assessment procedures and staff competence were rated moderate, enforcement mechanisms and use of technology were rated low. The regression analysis confirmed that administrative efficiency has the strongest influence on tax collection performance ($\beta = 0.36$, $p < 0.01$). This indicates that improving administrative systems would substantially enhance revenue mobilization.

Second, concerning **taxpayer awareness and compliance**, the findings showed that awareness levels are moderate. While many taxpayers understand their obligations, tax education programs are insufficient. Compliance behavior is also moderate, and penalties appear to play a greater role than voluntary motivation in encouraging compliance. The regression results revealed that taxpayer awareness and compliance significantly affect tax collection effectiveness ($\beta = 0.31$, $p < 0.01$).

Third, regarding **systemic and procedural factors**, the study revealed weaknesses in legal enforcement, inter-departmental coordination, and accountability mechanisms. Although policy clarity and transparency were rated moderate, systemic constraints still hinder effective tax

administration. Systemic factors were found to have a statistically significant effect on revenue performance ($\beta = 0.27$, $p < 0.01$).

Overall, the correlation and regression analyses indicated that administrative efficiency, taxpayer awareness and compliance, and systemic factors jointly explain 50% of the variation in tax collection effectiveness ($R^2 = 0.50$). This confirms that tax collection challenges in Maya City are multidimensional and interconnected.

5.2 Conclusions

Based on the findings of the study, the following conclusions are drawn:

- ✓ **Administrative inefficiencies remain a major challenge** in tax assessment and collection in Maya City. Weak enforcement systems and limited technological integration reduce operational effectiveness and contribute to revenue shortfalls.
- ✓ **Taxpayer compliance is influenced more by enforcement than voluntary motivation.** Although taxpayers have moderate awareness, perceived fairness and trust in the tax system require improvement to enhance voluntary compliance.
- ✓ **Systemic and institutional weaknesses limit revenue performance.** Poor coordination, weak legal enforcement, and limited accountability create structural barriers to effective tax administration.
- ✓ **Improving administrative capacity, strengthening taxpayer education, and reforming institutional systems are essential** for enhancing tax collection effectiveness.

5.3 Recommendations

Based on the findings and conclusions of the study, the following recommendations are proposed to improve tax assessment and collection in Maya City.

5.3.1 Administrative Improvements

- ✓ The tax office should strengthen enforcement mechanisms by improving monitoring, follow-up systems, and audit procedures.

- ✓ Regular training programs should be provided to tax officials to enhance their technical skills, customer service capacity, and understanding of updated tax regulations.
- ✓ Internal supervision and accountability systems should be strengthened to reduce inefficiencies and revenue leakages.
- ✓ Clear performance evaluation systems should be introduced to improve staff productivity and efficiency.

Improving administrative efficiency will directly enhance tax collection performance and reduce revenue shortfalls.

5.3.2 Policy Reforms

- ✓ Tax policies should be simplified and made more consistent to reduce confusion among taxpayers.
- ✓ The legal framework should be strengthened to ensure effective enforcement of tax laws.
- ✓ Coordination between different departments within the tax office should be improved to minimize procedural delays.
- ✓ Transparency in revenue management should be enhanced to build public trust.

Policy reforms should focus on creating a fair, transparent, and predictable tax system that encourages voluntary compliance.

5.3.3 Taxpayer Education Programs

- ✓ The tax office should organize regular awareness campaigns to educate taxpayers about their rights and obligations.
- ✓ Information materials such as brochures, workshops, and community meetings should be used to improve understanding of tax regulations.
- ✓ Special attention should be given to small and medium taxpayers, as they form the largest segment of the tax base.
- ✓ Public awareness programs should highlight how tax revenue is used for community development to improve taxpayer morale.

Enhancing taxpayer education will increase voluntary compliance and reduce resistance to taxation.

5.3.4 Technology Adoption

- ✓ The tax administration should introduce digital record-keeping systems to improve accuracy and efficiency.
- ✓ Electronic tax filing and payment systems should be implemented to simplify procedures and reduce delays.
- ✓ A computerized taxpayer database should be developed to improve monitoring and reduce tax evasion.
- ✓ Automation of assessment and reporting processes should be prioritized to minimize human error and corruption risks.

Adoption of modern technology will significantly improve efficiency, transparency, and revenue performance.

5.4 Areas for Further Research

While this study examined administrative, behavioral, and systemic factors affecting tax assessment and collection in Maya City, several areas require further investigation.

- ✓ Future studies could examine the impact of digital tax systems on compliance and revenue performance.
- ✓ Comparative studies between different cities or regions could provide broader insights into best practices in tax administration.
- ✓ Research could focus specifically on the informal sector and its impact on tax revenue.
- ✓ Longitudinal studies may be conducted to assess the long-term effects of policy reforms and administrative changes.

Further research in these areas would contribute to a deeper understanding of tax administration challenges and provide stronger evidence for policy improvements.

References

- Abiy, A. (2023). Assessment of factors affecting tax collection: The case of Ministry of Revenues, Federal Large Taxpayers Branch (Master's thesis). In A. Abiy. Addis Ababa: Addis Ababa University.
- Ahmed, A. (2023). The effect of tax revenue mobilization on economic growth of Ethiopia. *Journal of African Development Studies*. 63-74.
- Altaye, M. (2024). Assessment of factors affecting VAT collection performance in Gullele Sub-city, Addis Ababa, Ethiopia. *Addis Ababa University*.
- Asefu, A. (2021). Tax assessment and collection enforcement problems: The case of Ministry of Revenues Large Taxpayers Branch Office.
- Dadi, M. D., Wondimu, S. T., & Birru, M. W. (2020). Assessment of tax payment and collection problems in Jimma Zone, Ethiopia. *International Journal of Commerce and Finance*,. 125-138.
- Dereje, D. N. (2023). Assessment of determinants of tax collection: The case from Negele Town Administration, East Guji Zone, Oromia Region, Ethiopia. *Partners Universal International Research Journal*.
- Negatu, B. S. (2019). *A study on challenges of tax revenue assessment and collection in Ethiopia with reference to Custom and Revenue Authority*. Ethiopian Customs and Revenue Authority.
- Tariku, S. (2025). *ax assessment and collection problems of Category "A" taxpayers: A case of Hawassa City (Master's thesis)*. Addis Ababa: National Academic Digital Repository of Ethiopia.

APPENDICES

Appendix I: Questionnaire

Haramaya University
College of Business and Economics
Department of Accounting and Finance

Research Title: *Tax Assessment and Collection Related Problems in Maya City*

Purpose: This questionnaire is designed to collect information regarding tax assessment and collection practices in Maya City. The data collected will be used strictly for academic purposes. All responses will be treated confidentially and anonymity will be maintained.

Instructions

1. Please tick (✓) the appropriate answer.
2. You may select more than one option where applicable.
3. Provide brief explanations where necessary.

Section A: General Information

1. **Your Role:**
☐ Tax Official ☐ Taxpayer ☐ Other, specify _____
2. **Years of Experience in Tax-related Activities:**
☐ Less than 1 year ☐ 1–3 years ☐ 3–5 years ☐ More than 5 years
3. **Type of Taxpayer (For taxpayers only):**
☐ Individual ☐ Small Business ☐ Medium Business ☐ Large Business

Section B: Administrative Factors

4. The tax office has clear tax assessment procedures.
☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree
5. Tax assessment is conducted regularly and fairly.
☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree
6. Tax officials are well trained and competent.
☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree
7. Record-keeping and documentation systems are efficient.
☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

Section C: Taxpayer Awareness and Compliance

8. Taxpayers understand their tax obligations clearly.
☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree
9. Taxpayers voluntarily comply with tax regulations.
☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree
10. The tax office provides adequate education and awareness programs.
☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

Section D: Systemic/Procedural Factors

11. There is strong enforcement of tax laws in Maya City.
☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree
12. Monitoring and supervision mechanisms are effective.
☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree
13. Technology is adequately used in tax assessment and collection.
☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

Section E: Effectiveness of Tax Collection

14. Tax collection performance has improved in recent years.

☐ Strongly Agree ☐ Agree ☐ Neutral ☐ Disagree ☐ Strongly Disagree

15. Current tax administration practices are effective.

☐ Very Effective ☐ Effective ☐ Neutral ☐ Ineffective ☐ Very Ineffective

16. What are the major challenges affecting tax collection?

17. What improvements would you recommend?

Appendix II: Interview Guide

Interview Guide for Tax Officials

Purpose

The purpose of this interview is to gather in-depth information regarding tax assessment and collection challenges in Maya City.

Key Interview Questions

1. How is tax assessment conducted in Maya City?
 2. What administrative challenges affect tax assessment and collection?
 3. How effective are enforcement mechanisms?
 4. What are the main causes of taxpayer non-compliance?
 5. How does the tax office ensure fairness in assessment?
 6. What systemic or procedural weaknesses exist?
 7. How does technology support tax administration?
 8. What measures are being taken to improve revenue performance?
-

9. What policy reforms would you recommend?

10. Any additional comments regarding tax administration challenges?

Thank you for your Consideration.